Thus there were limits to how far the US would take the linkage. Kennedy told Ayub that the US would not make arms supply to India contingent on a settlement. If India was unilaterally intransigent on Kashmir, the US might revisit the issue. But Washington needed to help India—if it was weak, it would only invite further Chinese aggression.[46] It did not help Pakistan's case that the US was unhappy with its often "inadequate" attitude during the talks.[47] Kennedy and Komer also resented Pakistani pressure on the US, calling it "blackmail" and "abominable."[48]

Policymakers were particularly displeased with Pakistani "philandering" with China, which was entirely counterproductive to US goals and endangered the India-Pakistan negotiations.[49] On December 26, the day India-Pakistan talks had begun, Pakistan had announced that it had reached a border demarcation agreement in principle with China. Indian negotiator Swaran Singh had called these developments unhelpful.[50] Then, before another round of talks, Pakistani foreign minister Zulfiqar Ali Bhutto visited Beijing to finalize the agreement, further adding to India-Pakistan tension. Rusk felt that Pakistan was playing into the hands of China, which seemed to time these developments to torpedo the talks. He warned Pakistani officials that their intransigence was making a Chinese attack more likely. And in the event of such an attack, the US "would feel compelled to provide India with further military assistance."[51] Kennedy also told Ayub that Bhutto's visit made it very difficult for any Indian leader to get his public to accept concessions on Kashmir. He made clear that if the Chinese threat increased or if there was renewed fighting, the US would have to consider helping India substantially.[52]

The idea that Pakistan could be part of the solution to India's China problem—or at least help alleviate its defense problem—was not absent in India. Nehru was aware that a Kashmir settlement could allow India to focus on the China front.[53] American and British officials reported that recognition of the long-term Chinese threat had brought with it serious discussion in India, even within the defense establishment, of the need to make some progress with Pakistan.[54] The Indian defense minister indeed did not believe that India had the ability to meet a Sino-Pakistan threat and so had backed Nehru's decision to talk to the Pakistani leadership.[55]

Two factors, however, made the government unable and unwilling to make any major concessions. As Nehru noted, one was strategic: